

4.

CASE #	CASE NAME	HEARING NAME
CVRI2603191	SMALLWOOD VS U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION	DEMURRER

Tentative Ruling:

Moving party: Defendants Fay Servicing, LLC and U.S. Bank Trust Company, National Association, not in its individual capacity but solely as Indenture Trustee of CIM Trust 2023-R4

Responding party: Plaintiffs Charles E. Smallwood and Marla R. Smallwood

This is a wrongful foreclosure action. On May 22, 2026, Plaintiffs Charles E. Smallwood and Marla R. Smallwood ("Plaintiffs") filed a Complaint against Defendants Fay Servicing, LLC ("Fay"), U.S. Bank Trust Company, National Association, not in its individual capacity but solely as Indenture Trustee of CIM Trust 2023-R4 ("U.S. Bank"), and Clear Recon Corp. ("Clear Recon") (together "Defendants") for (1) violation of Civ. Code §§ 2923.55, 2924.11, and 2924.12, and (2) promissory estoppel. In the Complaint, Plaintiffs allege that they own and reside at the property located at 34618 Boros Blvd, Beaumont, California (the "Property"). (Complaint at ¶¶ 1-2.) On May 12, 2018, Plaintiffs executed a loan with Quicken Loans for \$278,000, secured by a deed of trust on the Property that was recorded on May 18, 2018. (Complaint at ¶¶ 10-12.) The deed of trust was modified by a loan modification recorded May 7, 2021. (Complaint at ¶ 13.) On December 12, 2024, a Corporate Assignment of Deed of Trust was recorded, assigning the beneficial interest in the deed of trust to U.S. Bank. (Complaint at ¶ 14.) Fay acted as servicer on the loan, and Clear Recon was the trustee. (Complaint at ¶¶ 4-5, 15.) Plaintiffs received a Notice of Default letter stating they were in default starting with their July 1, 2024 payment. (Complaint at ¶ 16.) On February 5, 2025, Clear Recon recorded a Notice of Default and Election to Sell Under Deed of Trust, stating arrears of \$25,882.98 as of February 4, 2025. (Complaint at ¶ 17.) On May 8, 2025, Clear Recon recorded a Notice of Trustee's Sale of the Property for June 18, 2025, stating there was an unpaid loan balance of \$344,461.47. (Complaint at ¶ 19.) On December 29, 2025, Plaintiffs retained counsel, who advised Fay that Plaintiffs were seeking a loan modification because they were behind on payments and had experienced financial hardship. (Complaint at ¶ 20.) On January 22, 2026, Fay advised Plaintiffs' counsel that the Property was in active foreclosure with a sale date of February 18, 2026; the loan was 18 months delinquent with a past due amount of \$52,586.67; and that the loan had been previously modified in 2021. (Complaint at ¶ 21.) On February 6, 2026, Plaintiffs' counsel submitted a loss mitigation packet to Fay that included authorization forms, proof of income, bank statements, tax returns, and contributor income information, and showed monthly household income of 8,743.70, expenses of 3,898.39, and a debt-to-income of approximately 44.5. (Complaint at ¶¶ 22-24.) Fay requested additional information throughout February and March 2026, which Plaintiffs worked to provide. (Complaint at ¶ 25.) On February 17, 2026, Plaintiffs filed a Chapter 13 bankruptcy case and notified Fay of the filing, and on February 18, 2026, Fay advised Plaintiffs' counsel

that the foreclosure was on hold because of the bankruptcy case. (Complaint at ¶¶ 26-27.) On March 2, 2026, Plaintiffs resubmitted an undated loss mitigation packet to Fay, and Fay advised a new foreclosure date had been set for April 29, 2026. (Complaint at ¶ 28.) On March 24, 2026, Fay advised Plaintiffs' counsel that the loss mitigation package was complete, it was under review with the underwriter, and the foreclosure was on hold. (Complaint at ¶ 29.) On April 16, 2026, Plaintiffs received a letter denying their request for loan modification that did not provide a reason for the denial, and Fay advised that the foreclosure was re-set for April 29, 2026. (Complaint at ¶¶ 30-31.) On April 23, 2026, Plaintiffs' counsel sent an appeal letter to Fay, which Fay acknowledged in letters dated April 28, 2026 and May 6, 2026. (Complaint at ¶¶ 33-35.) On April 29, 2026, Fay advised Plaintiffs' counsel that the foreclosure was on hold again, and that the denial of the modification was not about income, but because it did not make business sense. (Complaint at ¶¶ 36-37.) On May 6, 2026, Fay denied Plaintiffs' appeal in writing; advised that foreclosure activity may continue during the process; and advised that a new foreclosure date had been set for May 13, 2026. (Complaint at ¶¶ 38-41.)

On June 8, 2026, the Court granted Plaintiffs' *ex parte* application for a temporary restraining order ("TRO") restraining Defendants from conducting a trustee's sale of the Property.

On July 10, 2026, the Court denied Plaintiffs' motion for a preliminary injunction, finding there was no threat of immediate or irreparable harm because the Notice of Trustee Sale had expired, so Defendants had no ability to go forward with the sale.

Defendants demur to the Complaint on the grounds that it is uncertain and fails to allege sufficient facts to state a cause of action. They argue that the 1st cause of action fails because Civ. Code § 2924.12(c) provides a safe harbor provision for a lender who cures a violation of the Homeowner Bill of Rights ("HBOR") before foreclosure takes place; Plaintiffs fail to allege facts showing any violation of Civ. Code §§ 2923.55, 2924.11, or 2924.12, and even if they did, there is no material violation alleged because Plaintiff was afforded the opportunity to apply for a second loan modification and appeal its denial; and the Notice of Trustee's Sale that had been recorded expired, so Plaintiffs' claims are moot. They further argue that Plaintiffs' promissory estoppel cause of action fails because Plaintiffs do not allege actual reliance or any injury from such reliance, and the claim has been rendered moot.

In opposition, Plaintiffs argue that the demurrer is based on facts outside the pleadings, which is improper, and questions regarding whether Defendants corrected their violations; the violations were material; Plaintiffs relied on Fay's promises to their injury; and Defendants will resume foreclosure proceedings, cannot be resolved on demurrer. They also argue that the case is not moot because injunctive relief and other remedies remain available. They further contend that the 1st cause of action is sufficient because (1) it alleges dual tracking, which is forbidden by the HBOR, and the statutory label is not grounds for demurrer; (2) it alleges a violation of Civ. Code § 2923.55 because a prior loan modification is not the pre-recording outreach required by the statute; and (3) the safe harbor provision is an affirmative defense that doesn't appear on the face of the Complaint. Finally, Plaintiffs argue that the promissory estoppel cause

of action sufficiently alleges written promises by Fay, actions in reliance, and injury, and to the extent the causes of action are not sufficiently pled, they should be granted leave to amend.

In reply, Defendants mainly reiterate their arguments from the demurrer.

Analysis

I. Meet and Confer

Defendants met their statutory burden to meet and confer before filing this demurrer. (See, Decl. of James J. Ramos at ¶ 2.)

II. Request for Judicial Notice

Defendants ask the Court to take judicial notice of the Notice of Trustee's Sale recorded with the County on 5/8/25. A court may take judicial notice of the fact of a document's recordation, the date it was recorded and executed, the parties to the transaction and the legally operative language as long as there is no genuine dispute regarding the document's authenticity. (*Scott v. JP Morgan Chase Bank* (2013) 214 Cal. App. 4th 743, 755; *Poseidon Development, Inc. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1118 [judicial notice properly taken of the legal effect of assignment of deed of trust].) Accordingly, Defendant's judicial notice request is granted.

III. Standard

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint, will be given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 606.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

A special demurrer lies where a pleading is uncertain, ambiguous and unintelligible. (CCP § 430.10(f).) Demurrers for uncertainty, however, are typically sustained only where the defendant cannot reasonably determine what issues must be

admitted or denied, or what claims are directed against him. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.)

IV. On the Merits

A. Uncertainty

While Defendants specially demur to the Complaint on the ground of uncertainty under C.C.P. § 430.10(f), they fail to explain how any of the claims are uncertain such that they cannot reasonably determine what issues must be admitted or denied, or what claims are directed against them. (*Khoury, supra*, 14 Cal.App.4th 612, 616.)

Accordingly, the demurrer is overruled on grounds of uncertainty.

B. 1st Cause of Action for Violation of the HBOR

1. HBOR Generally

The HBOR is “a complex set of enactments focused specifically on residential mortgages and passed as a legislative response to the ongoing mortgage foreclosure crisis in 2012.” (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 295.) It was enacted “to ensure that, as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower’s mortgage servicer, such as loan modifications or other alternatives to foreclosure.” (Civ. Code § 2923.4(a).) “At the heart of the HBOR are mandated procedures designed to promote good faith negotiation of some form of foreclosure alternatives ..., typically modification of the borrower’s loan terms.” (*Morris, supra*, 78 Cal.App.5th at 295.) Under Civil Code § 2924.12, a borrower may bring an action for injunctive relief to enjoin material violations of HBOR as set forth in Civil Code sections 2923.55, 2923.6, 2923.7, 2924.9, 2924.10, 2924.11, or 2924.17 “if a trustee’s deed upon sale has not been recorded.” (Civ. Code § 2924.12(a)(1).) When a mortgage servicer commits a ‘material violation’ of these provisions, the HBOR allows the borrower to sue for injunctive relief before a foreclosure sale is recorded and for monetary damages after the sale has been recorded.” (*Billesbach v. Specialized Loan Servicing LLC* (2021) 62 Cal.App.5th 830, 845.)

2. Alleged Violations

In the 1st cause of action, Plaintiffs allege that Defendants violated the HBOR, and specifically, Civ. Code §§ 2923.55, 2924.11, and/or 2924.12. While Plaintiffs cite Civ. Code § 2924.11 as support for this cause of action, this appears to be in error. Section 2924.11 applies only when “a foreclosure prevention alternative is approved in writing” either before or after a notice of default is recorded, and the borrower is in compliance with the terms of the loan modification. (Civ. Code § 2924.11(a)-(b).) The allegations of the Complaint make clear that Plaintiffs sought a loan modification after the notice of default was recorded, and that request was denied. (See, Complaint at ¶¶ 16-18, 20, 22-24, 28-30, 32-35, 38.) Further, while Plaintiffs had a previous loan modification, the allegations of the Complaint show that Plaintiffs were in default on that

modification. (Complaint at ¶¶ 13, 16, 21.) Accordingly, Civ. Code § 2924.11 is inapplicable.

Pursuant to Civ. Code § 2923.55, a mortgage servicer (et al.) shall not record a notice of default until the servicer sends certain written information about the loan to the borrower and “contact[s] the borrower in person or by telephone in order to assess the borrower’s financial situation and explore options for the borrower to avoid foreclosure,” or exercises due diligence in contacting the borrower, and files a declaration detailing this due diligence. (Civ. Code § 2923.55(a)-(c), (f).) In the Complaint, Plaintiffs allege that Defendants did not satisfy the borrower-contact requirements of Civ. Code § 2923.55 because they “did not engage in meaningful pre-Notice of Default outreach to assess Plaintiffs’ financial situation and explore alternatives to foreclosure.” (Complaint at ¶ 48.) This is sufficient to allege a violation of Civ. Code § 2923.55.

Additionally, while Plaintiffs do not cite Civ. Code § 2923.6 as a basis for this cause of action, the facts alleged support a violation of this section. Specifically, the HBOR prohibits “dual tracking,” which occurs when a bank forecloses on a loan while negotiating with the borrower to avoid foreclosure. (See, Civ. Code § 2923.6; *Valbuena v. Ocwen Loan Servicing, LLC* (2015) 237 Cal.App.4th 1267, 1272.) Civ. Code § 2923.6(c) prohibits the mortgage servicer (et al.) from recording a notice of default or notice of sale or from conducting a trustee’s sale, while a completed loan modification application is pending. Further, a mortgage servicer (et al.) may not record a notice of default or notice of sale or conduct a trustee’s sale until (1) it denies the modification and the time to appeal has expired; (2) the borrower rejects the modification; or (3) the borrower accepts the modification but later breaches/defaults on the obligation. (*Id.*) “Section 2923.6 does not grant a right to a loan modification. To the contrary, it merely expresses the hope that lenders will offer modifications on certain terms and conspicuously does not require lenders to take any action.” (*Intengan v. BAC Home Loans Servicing LP* (2013) 214 Cal.App.4th 1047, 1056.)

In the present case, Plaintiffs allege that they submitted a full loss mitigation package to Fay; while this application was under consideration, Fay set a new date for the foreclosure sale; and the foreclosure sale was put on hold, but when the application was denied, prior to the expiration of the time to appeal, Fay set a new date for the foreclosure sale. (Complaint at ¶¶ 23, 28-35, 39-41, 49-53.) These allegations are sufficient to show violation of Civ. Code § 2923.6(c).

While Plaintiffs have sufficiently alleged violations of the HBOR, this does not end the analysis because violations are only actionable if they are material. Additionally, the HBOR has a safe harbor provision that exempts defendants from liability if they correct a violation before recording a trustee’s deed upon sale. (Civil Code §2924.12(c).)

3. Any Violation Was Not Material

Only material HBOR violations which thwart a borrower’s ability to be considered for loss mitigation give rise to liability. (*Billesbach v. Specialized Loan Servicing LLC* (2021) 63 Cal.App.5th 830, 845-846 [“By the statute’s terms, a temporary disruption of

the normal foreclosure process that is corrected and causes no lasting harm to the borrower's rights will give rise to no liability.”.) Mere technical violations are not actionable. (*Ibid.*)

In *Billesbach*, the court affirmed an order granting summary judgment in favor of a mortgage servicer in an action brought by a borrower for violations of the HBOR. It was undisputed that the mortgage servicer recorded a notice of default before communicating with the borrower about foreclosure alternatives in violation of Civ. Code § 2923.55, among other things. It was also undisputed that the loan servicer thereafter postponed the foreclosure sale and reviewed the borrower's application for a loan modification. (*Id.* at 836-837.) The servicer offered a trial-period modification plan that the borrower could accept by making a payment, but the borrower missed the first payment, and the foreclosure sale proceeded. (*Id.* at 837.) The trial court granted the mortgage servicer's motion for summary judgment, and the appellate court affirmed, stating the following:

After appellant filed his lawsuit, respondent postponed the foreclosure sale, provided appellant with a single point of contact, communicated with him about foreclosure alternatives, reviewed his loan-modification application, and ultimately offered him a trial-period modification plan. These curative measures satisfied the HBOR's purpose to ensure that borrowers have a meaningful opportunity to obtain loss-mitigation options. ... It is true that respondent remained in technical noncompliance with the HBOR: it communicated with appellant only after it recorded its notice of default, and its declaration of compliance was inaccurate at the time it was recorded. Yet appellant offered no evidence that these presale violations affected his loan obligations, disrupted his loan-modification process, or otherwise harmed him, despite appellant's subsequent remedial actions. Absent any meaningful harm to appellant, respondent's uncured violations were not material.

(*Id.* at 846 [emphasis added].)

Here, like in *Billesbach*, after the notice of default was recorded, Defendants received and reviewed Plaintiffs' application for a loan modification and postponed the foreclosure sale while the application was being reviewed. (Complaint at ¶¶ 17-19, 23, 28-29.) They also put the foreclosure sale on hold while Plaintiffs' appeal of the denial of their loan modification application was processed. (Complaint at ¶¶ 33-36.) Thus, the purpose of the HBOR was served because Plaintiffs were considered for loss mitigation measures. (*Billesbach, supra*, 63 Cal.App.5th at 846; *Schmidt v. Citibank, N.A.* (2018) 28 Cal.App.5th 1109, n. 7 [violation of the HBOR is not material if the purpose of the statute is met].) That the application was ultimately denied does not change the analysis, as nothing in HBOR requires lenders to grant a loan modification. (See, *Intengan, supra*, 214 Cal.App.4th at 1056.) The facts alleged in the Complaint show that Plaintiffs were not deprived of any rights or opportunities under HBOR, and any alleged technical violation of HBOR was immaterial, and therefore not actionable. **Accordingly, the demurrer to this cause of action is sustained.**

4. Safe Harbor

In addition to the lack of materiality of the alleged violations, the express language of HBOR offers safe harbor to any lender that cures a violation before the foreclosure takes place. Specifically, Civ. Code § 2924.12(c) states:

A mortgage servicer, mortgagee, trustee, beneficiary, or authorized agent shall not be liable for any violation that it has corrected and remedied prior to the recordation of the trustee's deed upon sale, or that has been corrected and remedied by third parties working on its behalf prior to the recordation of the trustee's deed upon sale.

(*Ibid.*)

Thus, “[s]ection 2924.12, subdivision (c), provides a safe harbor by encouraging the curing of violations...” (*Schmidt, supra*, 28 Cal.App.5th at 1115). Under this statutory protection, even if the lender committed a violation of HBOR, it is nevertheless absolved of any liability if it corrects said violation before initiating a foreclosure sale. (*Id.*; Civ. Code § 2924.12(c).) A lender need not reverse the foreclosure process altogether in order to avail itself of the safe harbor. Rather, it need only satisfy HBOR's purpose by ensuring that the borrower has a meaningful opportunity to obtain loss-mitigation options before a sale takes place. (*Billesbach, supra*, 63 Cal.App.5th at 846 [“[r]equiring a servicer to record a new, identical notice of default following full consideration of the borrower's loan-modification application would do nothing to further the HBOR's purpose”].)

Here, the facts pled in the Complaint show that Defendants cured their violations of the HBOR by considering Plaintiffs' application for a loan modification and their appeal of its denial before proceeding with foreclosure (which has still not occurred). (Complaint at ¶¶ 17-19, 23, 28-36, 38-41.) Therefore, Plaintiffs fail to allege sufficient facts to state a cause of action for violation of the HBOR, and **the demurrer is sustained.**

Plaintiffs' claims also appear to be moot, as noted by Defendants. This is because, pursuant to Civ. Code § 2924.12(a), the relief available and sought by Plaintiffs is an injunction preventing the foreclosure sale from moving forward, and it is undisputed that the Notice of Trustee's Sale has expired, so Defendants can take no action on it.

C. 2nd Cause of Action for Promissory Estoppel

“The elements of promissory estoppel are (1) a clear promise, (2) reliance, (3) substantial detriment, and (4) damages ‘measured by the extent of the obligation assumed and not performed.’” (*Toscano v. Greene Music* (2004) 124 Cal.App.4th 685, 692.) The promisee must have reasonably and foreseeably relied on the promise, such that it would be an injustice if the promise was not enforced. (*Aceves v. U.S. Bank, N.A.* (2011) 192 Cal.App.4th 218, 227.) “Promissory estoppel is a doctrine which employs equitable principles to satisfy the requirement that consideration must be given in

exchange for the promise sought to be enforced. ... Because promissory estoppel is an equitable doctrine to allow enforcement of a promise that would otherwise be unenforceable, courts are given wide discretion in its application.” (*US Ecology, Inc. v. State of California* (2005) 129 Cal.App.4th 887, 901–902 [internal citations and quotations omitted].)

Here, Plaintiffs allege that Defendants represented to Plaintiffs that their appeal had been received and escalated for review; a response would be provided within 30 days; and the foreclosure was on hold while the appeal was pending. (Complaint at ¶¶ 59-61.) They further allege that Defendants did not honor these promises because they denied Plaintiffs’ appeal and resumed foreclosure activity within the 30-day appeal review period. (Complaint at ¶¶ 64.) Finally, Plaintiffs allege that they relied on the above representations by continuing to provide documents during the appeal process and delaying immediate litigation. (Complaint at ¶¶ 62.)

First, as alleged, it is unclear how the purported promises were not performed, as the facts acknowledge that Defendants did consider Plaintiffs’ appeal and did not re-set the foreclosure date until after the appeal was denied. (Complaint at ¶¶ 33-36, 38-41.) Further, Plaintiffs fail to allege facts showing how they were harmed. Thus, the allegations are insufficient to state a cause of action for promissory estoppel. **Accordingly, the demurrer to this cause of action is sustained.**

Summary:

Grant the request for judicial notice. Overrule the demurrer based on uncertainty. Sustain the demurrer to the 1st and 2nd causes of action with 21 days leave to amend.